

Value Research, says the revised regulation will certainly prevent brokers from associating with unregistered advisors. "However, as with every restriction, some finfluencers will probably find it lucrative to try to circumvent the restrictions. Therefore, detection, enforcement, and strong punitive action are important," he says.

The effectiveness of Sebi's move in protecting the public hinges on how much exposure investors actually have to such recommendations.

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"The impact is already noticeable, with many companies ceasing to use influencers to promote their products. However, even today, on platforms like Telegram and Instagram, unauthorised individuals still suggest which stocks and mutual funds to buy," says Rath. The curbs have to be strict and the penalties severe, such as removing or blocking influencers' accounts, to deter them from making such recommendations, he says.

The message is clear. And those who play by the rules can survive. Value Research's Kumar says, "The finfluencer zoo has a wide variety of species. I am sure some will become endangered, while others will probably still flourish." **BT**

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AUTO INDUSTRY

Deluge of Discounts

Domestic automakers are luring consumers with monsoon discounts. But such untimely concessions are a sign of rising inventory levels

BY ASTHA ORIEL

▶ **AS YOU ENTER** a Maruti Suzuki India Ltd (MSIL) dealership in West Delhi, you can't help but notice pamphlets of the recently-launched Dream Series edition. The showroom also features special monsoon discounts of up to ₹1 lakh on select models. A similar scenario is found at Tata Motors and Mahindra & Mahindra showrooms, where discounts of up to ₹1.4 lakh are offered on some models like Tata Safari, Tata Harrier, and XUV700 amid increasing competition. Meanwhile, Honda is offering discounts of up to ₹96,000 on models such as Amaze, City, and Elevate. IPO-bound Hyundai Motor India is also offering discounts of up to ₹2 lakh.

Auto discounts typically surface during the festival season, which usually kicks off in September. While advantageous for customers, this early occurrence points to increased inventory for dealers.

"The higher the inventory levels, the more the discount," says Manish Raj Singhania, President, Federation of Automobile Dealers Association (FADA).

With increasing inventory levels, automakers are extending the discounts on a monthly basis. MSIL has extended its Special Edition Dream Series for Celerio, Alto K10, and Espresso to July. "We have witnessed a 17% increase in bookings after the launch of the Dream Series," says Partho Banerjee, Senior Executive Officer, Marketing and Sales, MSIL.

Analysts believe now is the best time to buy a car as automakers are trying to liquidate their inventory.

On the other hand, the Society of Indian Automobile Manufacturers, expects original equipment manufacturers (OEMs) to take

responsible decisions to reduce inventory.

"In India, sales are seasonal and typically peak towards the end of the year and again in March. There's a significant uptick in sales during the festival season—from Dussehra to Diwali," says Rajeev Singh, Partner and Consumer Industry Leader at consulting firm Deloitte Asia Pacific.

The industry witnesses a lean

**35
Days**

STOCK AUTO DEALERS USUALLY HAVE. BUT FOR THE PAST THREE MONTHS, INVENTORY LEVELS HAVE PILED UP TO AS HIGH AS 67 DAYS